Moat Momentum: signal framework review

Feedback on the three-signal idea (financial, narrative, price) and a suggested long-term structure · 4 November 2026

> **In short.** The three-signal frame is a good starting point. The weak spots are less in the categories than in how they are ordered and how each one is tested. The biggest gap is a fourth signal: what the market already expects (valuation). The next step is one simple chart, ROIC versus growth with each company's trail, rather than more settings.

What is right

- **The financial database is the real asset.** Point-in-time SEC data, cleaned of one-off items and traceable to filings, is hard to build, and most retail tools do not have it. Keep it whatever else changes.
- **Splitting fact, story and price is correct.** They answer different questions: is the business improving, why, and is now a good price.
- **Doubt about the narrative is well placed.** Management talks its own book; an AI that compares across sources is the right fix.

Where to push back

1. Missing signal: valuation, meaning what the market already expects

- The back-test showed it: the screen found good businesses, but returns matched the S&P 500. Good companies are usually already priced as good.
- An investment signal is "the business improves *more than the price assumes*". That is neither a financial, narrative nor price signal; it sits between them.
- Valuation should be a full signal, not a late filter, because it is where the gap between company quality and stock return comes from.

2. Financial signals are not only lagging

Some items in filings move before revenue does:

- deferred revenue and remaining performance obligations (backlog);
- R&D and capex intensity;
- customer counts, and changes in segment mix.

A small number of these may beat 13 indicators.

3. Simpler is right, but a two-axis chart is not automatically a signal

Rule of 40 works because both axes have economic meaning and trade off against each other (grow fast *or* earn margin). It is a description, not a proven predictor. Well-known two-axis frames:

Frame	Axes	What it shows
Rule of 40	Revenue growth vs profit margin (FCF or EBITDA)	Efficient growth (mainly software)
ROIC vs growth (McKinsey value matrix)	ROIC minus cost of capital vs revenue growth	Growth creates value only when ROIC is above the hurdle; the best quadrant is high on both
Reinvestment vs return	Share of profit reinvested vs incremental ROIC	Compounding runway; closest to "moat momentum"
Gross-margin trend vs revenue growth	Change in margin vs growth	Pricing power while growing
Growth vs valuation (EV/Sales or PEG)	Growth vs price	Whether the growth is already paid for
Quality vs value (Piotroski F-score vs P/B or P/E)	Quality score vs cheapness	Classic academic combination

Recommendation: make "ROIC vs growth", with a trail showing where each company was in earlier years, the main Moat Momentum chart.

- **The movement is the signal:** a company moving toward the high-ROIC, high-growth corner is exactly what "moat momentum" means.
- **It is easy to read** and uses data already in the database; the Deep-Dive already contains both series.
- **Add valuation as the colour or size of each dot** to show what is already priced in.

4. Narrative: the bottleneck is the question, not the data

"Get insight from everything" will not converge. Give the AI narrow, checkable tasks tied to the financial data:

- **Claim vs filing:** did what management promised (margins, launches, guidance) show up in the next 10-Q? This builds a credibility score per company over time.
- **Cross-company read:** a supplier's outlook vs its customers' capex, or a competitor's price cuts vs the company's gross margin. This is the "bad news for one is good news for another" idea, and a procurement background is a real edge here.
- **Change detection:** new risk factors, wording that shifts between calls, more mentions of a competitor.

Every narrative signal should point to a financial number it predicts, so it can be tested later against the database.

5. Price signal: keep it narrow

Technical analysis has weak evidence on its own. Use it for timing and risk only:

- entry zones;
- momentum confirmation (12-month relative strength is the one price factor with strong evidence);
- stop rules and position sizing.

Do not use it to find ideas. Putting it last in the sequence is right.

6. Testing: change what counts as proof

The 2013–2023 back-test was hard because winners are rare (about 1–2% of companies) and many years are needed to see them. Two adjustments:

- **Judge the shortlist by its hit rate, not its average return.** The real use is researching 10–25 names, not buying 1,000.
- **Rely on the live track record**, already set up, scored quarterly. In 2–3 years it becomes better evidence than any back-test, and it cannot have been fitted to the past.

Suggested long-term structure

Stage	Question	Source	Output
1. Financial momentum	Is the business getting better?	SEC database (built)	ROIC × growth chart plus a few leading items
2. Narrative check	Why, and will it last?	Second Brain, with narrow AI tasks	Credibility score; confirms or contradicts
3. Expectation gap	Is it already priced in?	Price plus simple valuation	Implied growth vs actual growth
4. Price timing	When, and how much?	TradingView, momentum	Entry, size, exit rules
5. Feedback loop	Was I right?	Track record, journal	What to change, from evidence

Stages 1 and 2 run in parallel. Stage 3 is the one to add.

Next step

- Build one chart, not more settings: ROIC minus 9% (y-axis) vs 3-year revenue growth (x-axis), with each company's 5-year trail and a valuation colour.
- Test one simple rule on the existing data: "moved into the top-right quadrant this year" vs everyone else. That gives a visual, explainable signal and quickly shows whether the simpler approach beats the 13-indicator score.
- For the Second Brain, start with one narrow task, "claims vs next filing", on the 25 shortlist names.

Moat Momentum is a research tool, not investment advice. This is a design review of the method; it contains no new test results.